TO: MD & CEO, Kotak Life Insurance
FROM: Strategy Analytics Team
DATE: June 2025
SUBJECT: Renewal Premium Decline — Root Cause Analysis & Recommendations

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1. Situation

Kotak Life Insurance reported a **22% decline in profit during Q2 FY2025**. While **New Business Premium (NBP) increased by 12%**, **Renewal Premium declined by 31%**, creating significant pressure on overall profitability and long-term business sustainability.

2. Key Findings

- **₹57.4 Lakhs** in annual renewal revenue lost due to policy lapsation.
- **2 High Risk agents (A003 – Priya Nair 78%, A004 – Sneha Iyer 71%)** identified as churning agents.
- **ULIP products** have the lowest **13th month persistency at 45%**.
- **HNI segment** has the best renewal rate at **81%**, with the lowest lapse rate of **19%**.
- **West region** exhibits the highest geographic lapse risk at **37.7%**.

3. Root Cause

Analysis indicates a pattern of **agent churning behaviour**, where policies are allowed to lapse after the first policy year and customers are subsequently encouraged to purchase new policies. This practice generates fresh commissions for agents while reducing policy persistency. As a result, the company simultaneously experiences a decline in renewal revenue and an increase in customer acquisition costs.

4. Recommendations

Immediate (0–30 Days)

- Place **A003 (Priya Nair)** and **A004 (Sneha Iyer)** on performance review.
- Conduct a detailed audit of their policy books to identify potential mis-selling and replacement business patterns.

Short Term (30–90 Days)

- Implement an **agent-level persistency scorecard** to monitor renewal performance.
- Link renewal commission payouts to **13-month persistency ratios** to incentivize customer retention.

Long Term (90+ Days)

- Shift the Agent channel product mix toward **Term Insurance**, which typically demonstrates stronger persistency performance.
- Expand the **HNI acquisition strategy**, leveraging the segment's superior renewal behavior.
- Scale the **Digital channel**, currently the most stable distribution channel with a **25% lapse rate**, to improve long-term renewal income and profitability.

Expected Outcome: Implementation of the above recommendations is expected to improve policy persistency, reduce renewal revenue leakage, strengthen customer retention, and support sustainable profit growth in subsequent quarters.